AREA Alberta Real Estate Association

_____
Agreement Number

COMMERCIAL EXCLUSIVE SELLER REPRESENTATION AGREEMENT

An Agreement to Exclusively Represent a Seller

(For Use in Common Law Brokerages)

Between

THE BROKERAGE (WE)	and	**THE SELLER (YOU)**
Name _____		Name _____
Name _____		Name _____

1. THE PROPERTY

1.1 The land and buildings at (municipal address): _____

_____

including the following goods not attached to the land and buildings:

and all goods attached to the land and buildings, **except**:

Legal Description (to be used for non-condominium properties only):

Plan _____ Block_____Lot _____

_____

If Condominium Property, legal description and details as per the Condominium Property Appendix (attached and listed in section 18.1 of this agreement).

1.2 You authorize us to offer the property for sale for $_____, **plus** GST, if applicable.

You must determine whether the sale of the property is subject to GST by getting independent advice. You acknowledge that neither we nor our representatives are giving an opinion about GST applying to the sale of the property and you agree that we and our representatives will not be responsible for the payment of GST.

1.3 The proposed possession date is _____.

2. OUR AGENCY RELATIONSHIP

2.1 You give us the exclusive right to offer the property for sale and you appoint us as your exclusive agent to represent you in selling the property. This agreement creates a sole agency relationship with the brokerage under common law. That means you cannot appoint anyone else as your agent during this agreement. However, we may represent buyers and other sellers.

2.2 This agreement begins on _____, 20____ at _____. m.

It ends on _____, 20____ at _____. m.

3. OUR RESPONSIBILITIES

3.1 We must meet our agency responsibilities to you in a timely manner.

3.2 Our agency responsibilities to you include the duties of loyalty, obedience, confidentiality, reasonable care and skill, full disclosure, and full accounting.

3.3 In addition to the responsibilities described above, we must also:

(a) market the property, until the property is sold under this agreement, or this agreement ends.
(b) keep you informed of our marketing activities and any resulting transaction.
(c) tell any buyer interested in the property that we are your agent.
(d) tell buyers of all material latent defects affecting the property that we are aware of.
(e) help you negotiate favourable terms and conditions with a buyer.
(f) help you to prepare and comply with a contract to sell the property.
(g) present all offers and counteroffers to and from you, even when you have accepted a purchase contract. However, we need not seek additional offers while there is an unconditional purchase contract.
(h) tell you relevant facts about the transaction.
(i) hold money we receive in trust, as the *Real Estate Act* requires.
(j) give you a copy of this agreement as soon as possible after signing.

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3.4 We are providing services as a real estate professional, not as a lawyer, tax advisor, lender, appraiser, surveyor, structural engineer, property inspector, or other professional service provider.

4. MLS® SYSTEM AND OUR OTHER SERVICES

4.1 We will advertise and market the property using the MLS® System. The MLS® System is a web-based service that allows seller representatives to list properties for sale and share information about those properties. All listings on the MLS® System must: (a) be for a minimum duration of 60 days; (b) provide compensation for cooperating brokers for the sale of the property; and (c) not exclude any licensed industry member from acting as a cooperating broker.

4.2 You acknowledge that we must follow the board's MLS® System rules and regulations when providing MLS® System services.

4.3 You request and we agree to provide the following other services:

(a) to install a "For Sale" sign on the property. ❑ Yes ❑ No

(b) to advertise the property. ❑ Yes ❑ No

(c) to show the property at times acceptable to the seller and, if any, the tenant(s). ❑ Yes ❑ No

(d) _____

(e) _____

5. YOUR RESPONSIBILITIES

5.1 During this agreement you must:

(a) provide us with a real property report, if applicable, showing the current state of improvements on the property according to the Alberta Land Surveyors' Manual of Standard Practice, with evidence of municipal compliance or non-conformance, within ten days of signing this agreement, unless the property is a conventional condominium or there are no improvements on the land. Not having this real property report may result in problems on closing or rescission of the purchase contract.

(b) insure the property and its contents against loss or damage due to causes normally insured against for similar properties, even if your property is vacant.

(c) communicate and cooperate with us.

(d) provide us with all the information necessary for the listing and marketing of the property.

(e) tell us if the property's condition, status or title changes.

(f) tell us about inquiries you make or receive about the sale of the property.

(g) determine whether the property is subject to GST.

(h) determine and tell us if you will have enough money left over after the sale of your property to cover payment of your mortgage balance (including any payout penalties) and any other obligations you must pay out with the sale money.

5.2 During this agreement and 90 days after this agreement ends, you must give us copies of any offers you make or receive for the sale of the property, unless you sign a seller representation agreement with another brokerage that begins after this agreement ends.

6. YOUR WARRANTIES AND REPRESENTATIONS

6.1 You warrant:

(a) you have authority to sell the property as described, including attached and unattached goods.

(b) no one else has a legal right to the attached and unattached goods.

(c) the goods attached to the property and the included unattached goods listed in clause 1.1 are free and clear of financial encumbrances.

(d) you have told us about all third party rights to the property that you know about.

(e) all information you give us is true to the best of your knowledge.

(f) the property is not currently the subject of any seller representation agreement.

6.2 You warrant, to the best of your knowledge, the following are true:

(a) the land and buildings are currently being used according to municipal bylaws.

(b) the buildings and land improvements are entirely on the land and not on any easement, right-of-way, or neighbouring lands (unless there is a registered agreement on title).

(c) the location of the buildings or improvements meet municipal bylaws or regulations **or** the buildings and improvements are "non-conforming buildings" as defined in the *Municipal Government Act* (Alberta).

(d) the land and buildings are currently being used according to, and the location of the buildings and land improvements meet, the restrictive covenants on title (if any).

(e) you are not a non-resident of Canada under the *Income Tax Act* (Canada).

(f) where applicable, you have complied with the bylaws of the Condominium Corporation.

7. DOWER CONSENT

7.1 Dower rights may apply if the property is a homestead pursuant to the Dower Act (Alberta). The following questions must be answered if you are the only registered owner of the property:

(a) Are you legally married? (includes a separated couple not yet legally divorced but does not include a couple in a common law relationship) ❑ Yes ❑ No

(b) Have you or your spouse resided on the property at any time since your marriage? ❑ Yes ❑ No

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If you answered ***yes*** to both questions, and the property is a homestead as defined by the Dower Act (Alberta), your spouse will have to complete the Dower Consent and Acknowledgement and sign this agreement in the Signatures Section – Non-Owner Spouse Signature (when dower rights apply).

8. IMPORTANT INFORMATION

8.1 You will provide the following Important Information to us promptly and at your expense:

(a) if the property is a resale condominium, the Important Information as described in the Condominium Property Appendix (attached and listed in section 18.1 of this agreement).

(b) all other applicable property information which may be relevant and material to a purchase of the property, including, but not limited to, financial information such as annual property operating data (APOD), tenant schedules and leases, service and supply contracts, engineering reports, environmental assessment reports, building plans and specifications.

8.2 In the event that you fail to provide the Important Information, you authorize us to obtain it on your behalf and at your expense.

9. CONFLICTS OF INTEREST

9.1 It is not a conflict of interest if we simply show the property to a buyer we also represent.

9.2 A conflict of interest occurs when we act as the sole agent for both you and the buyer. In that case, we must tell you there is a conflict and tell you and the buyer your options.

9.3 If there is a conflict, you and the buyer may agree to have us act as a transaction facilitator. In that case, we work for both sides to bring about a purchase and sale and do not act as sole agent for either of you.

9.4 If we, you or the buyer decide not to have us facilitate the transaction, we will act as the sole agent of the side which first signed a representation agreement with us, unless we all agree otherwise in writing.

9.5 If we do not continue to act as your sole agent, you may choose another brokerage, ask us to refer you to another brokerage, or have a customer relationship with us. If you are a customer, our responsibilities are limited acting honestly, using reasonable care and skill, and making sure any information we give is correct.

10. OUR FEE AND LIMITS ON PAYMENTS

10.1 Our fee is

_____

plus GST and is due when the sale of the property is complete.

10.2 We will offer

_____

plus GST from our fee to the buyer's brokerage.

10.3 You must pay our fee if:

(a) while this agreement is in effect, you enter into a legally binding contract to sell, exchange, or otherwise dispose of the property, whether through us or not. You must pay us even if you don't complete the sale, unless you have a legal reason for not completing it.

(b) in the 90 days after this agreement ends, you enter into a legally binding contract to sell the property where the buyer was introduced to the property during the term of this agreement. You must pay us even if you don't complete the sale, unless you have a legal reason for not completing it.

(c) a buyer is found who is willing and able to complete the sale upon the conditions outlined in this agreement but you refuse to sign the purchase contract.

10.4 You authorize us to use any deposit we hold under the purchase contract or this agreement towards money you owe us under this agreement. If the deposit does not cover our fee and any other money owing to us under this agreement, you must pay us the outstanding balance by two (2) days:

(a) after the sale is completed, or

(b) from when this agreement ends.

10.5 You must instruct your lawyer to deduct from the deposit and proceeds of sale, or money forfeited by or recovered from the buyer, the amount that you owe us under this agreement. Any holdbacks or conditions accepted by you or your lawyer will not delay payment of the fee to us.

10.6 You do not pay our fee if you:

(a) sell the property to a buyer excluded in writing from this agreement.

(b) sign a seller representation agreement with another brokerage that begins after this agreement ends.

10.7 If you change your mind about selling the property, you must tell us in writing. You must reimburse us for our reasonable expenses up to the time you tell us. Reasonable expenses will include: _____

_____

_____

If you pay these reasonable expenses, it does not remove your responsibility to pay other amounts you may owe us under this agreement.

10.8 If the buyer does not complete a legally binding contract to buy the property and has no legal reason for not completing it, the buyer may forfeit the deposit. If the buyer forfeits the deposit you will pay us our fee or 50% of the forfeited deposit, whichever is less.

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10.9 You agree that all of your interest in the land, buildings and attached goods may be encumbered for our benefit to secure payment of all money that you owe us under this agreement. We and you agree that we are entitled to encumber the land, buildings, and attached goods under the *Land Titles Act* (Alberta).

10.10 If we have to enforce any of our rights under this agreement and we are successful, you will pay us our reasonable enforcement costs including lawyer and client fees.

10.11 If you owe money under this agreement and we do not wish to enforce this agreement against you, then upon mutual agreement between us and the buyer's brokerage, we may assign this agreement to the buyer's brokerage. If this agreement is assigned, then the buyer's brokerage may enforce this agreement against you to collect the portion of the fee to which the buyer's brokerage is entitled in section 10.2, and the buyer's brokerage will have the same rights and security given to us in this Agreement.

10.12 If the property is owned by a limited company, a sale of shares representing a controlling interest in the property will constitute a sale for the purposes of this agreement

10.13 "Sale" and "purchase" include an exchange, option, lease or other acquisition/disposition of an interest in the property for the purposes of this agreement

10.14 We must not accept any other fees including finder's fees, referral fees, bonuses or gifts directly or indirectly related to this agreement, unless we first tell you in writing everything relevant about the payment and you consent in writing to the payment.

11. PERSONAL AND CONFIDENTIAL INFORMATION

11.1 For the purposes of this agreement, "Listing Information" includes all information required for the listing of the property, including your personal and confidential information. This includes but is not limited to your name, property address, images and audio and video recordings of the property, listing, pricing and sales information, existence of conditional offers, the unconditional sale price, and date of sale of the property.

11.2 You give your consent to us to collect, maintain, use and disclose the Listing Information, both now and at any time in the future, for the purposes of this agreement and for all uses set forth in this agreement including listing and marketing the property in any medium, including electronic media. You release us and our brokerage representatives from all claims and liability arising from these consented uses.

11.3 You consent to our collection, use, and disclosure of the Listing Information:

(a) in our databases and in any databases we choose to use, regardless of whether we operate or control the databases.

(b) for any business purpose, including making comparative analyses and sharing information with appraisers and other brokerages.

11.4 You acknowledge that we, our local real estate board, our provincial real estate association, and the listing services we use may:

(a) disclose the Listing Information to others authorized to use the listing service, like other brokers, appraisers, government departments, municipal organizations, and others.

(b) use the Listing Information to gather, keep, and publish statistics which we may use to conduct comparative market analyses.

(c) use the Listing Information to better list, market, and sell real estate.

11.5 We will not use or disclose the Listing Information except as set forth in clauses 11.2, 11.3 or 11.4, or as required by law.

11.6 We will not give you any confidential information we have because of a past or present agency relationship with someone else.

12. ONGOING OBLIGATIONS

12.1 Our duty under clauses 11.1 through 11.5 to keep your Listing Information confidential in accordance with the terms thereof continues after this agreement ends.

13. AUDIO AND VIDEO RECORDINGS AND PHOTOGRAPHY

13.1 You consent to showing the property, including virtual showings using photography or videography, and acknowledge that your personal or confidential information may be seen by prospective buyers, their representatives, service providers, and others as may be required to attend the property by the prospective buyers.

13.2 You release and hold us and our brokerage representatives harmless from all legal liability due to any alleged breaches of privacy arising from showings of the property, including virtual showings using photography or videography.

13.3 You acknowledge it is unlawful to record conversations of any persons attending your property without their written consent and to have active cameras located in or on your property where privacy would be reasonably expected.

14. INDEMNIFICATION

14.1 You agree that you will indemnify us and our brokerage representatives against all claims and legal actions that may arise from any consents or acknowledgements you make in this agreement, or because we reasonably and in good faith relied on information you gave us. This means that you will have to pay us in full for the outcome of these claims and legal actions and any related expenses including legal fees.

15. PROPERTY INFORMATION, NOTICES AND PERMITS

15.1 You are required by law to disclose material latent defects. Material Latent Defect means a known defect in the property that is not discoverable through a reasonable inspection and that will affect the use or value of the Property. You may also be required to disclose defects that would be expensive to fix, government and local authority notices and lack of development permits.

(a) Are you aware of material latent defects in the property? ❑ Yes ❑ No

(b) Do you know of any defects that would be expensive to fix? ❑ Yes ❑ No

(c) Have you received any government or local authority notices? ❑ Yes ❑ No

(d) Do you know of any lack of permits for any development on the property? ❑ Yes ❑ No

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If ***yes*** to any of the above, complete the Defect Disclosure Instruction Schedule.

16. ADDITIONAL TERMS (IF ANY)

17. EARLY END TO THIS AGREEMENT

17.1 Despite the end date listed at the beginning of this agreement, the agreement ends immediately if any of these things happen:

(a) you complete a sale of the property.
(b) we and you agree in writing to an earlier end date.
(c) our licence to trade in real estate is suspended or cancelled.
(d) we are bankrupt, insolvent, or we are in receivership.
(e) you materially breach this agreement and we give you written notice to end it, or we materially breach this agreement and you give us written notice to end it.
(f) you give us written notice to end this agreement because our board membership status changes to the extent that we cannot fulfill our obligations under this agreement.

If the agreement ends for any of these reasons, our rights and your rights under this agreement will not be affected.

17.2 When this agreement ends, we will immediately remove the property as an active listing on any listing service, cease all marketing activities for the property, remove all signs and any lockbox from the property, and return documents and other materials provided by you.

17.3 Ending this agreement for whatever reason does not relieve us of our duties to account for all monies received by us and confidentiality to you.

18. OTHER DETAILS ABOUT THIS AGREEMENT

18.1 Documents attached to this agreement only form part of this agreement if we and you sign or initial them. This agreement includes these attached documents:

18.2 Any future changes to this agreement must be in writing and signed by both of us to be effective.

18.3 Words with a singular meaning may be read as plural when required by the context.

18.4 If any clauses added to this agreement conflict with standard clauses in this agreement, the added clauses apply.

18.5 This agreement is the entire agreement between us and you. Anything we discussed with you, or that you told us, is not part of this agreement unless it is in this agreement.

18.6 This agreement is for the benefit of and will be binding on the heirs, administrators, executors, successors and assigns of you and us.

18.7 The laws of the Province of Alberta govern this agreement, and all disputes will be resolved in Alberta.

18.8 A sale is complete when all money has been paid to you or your lawyer and is releasable.

19. ADVICE TO THE SELLER

19.1 If you have entered into any long-term contracts that relate to the property, for example, agreements for gas or utility services or security monitoring, you should verify termination policies and any possible financial penalties with the other contracting party.

20. SELLER ACKNOWLEDGEMENT

20.1 You acknowledge that:

(a) you have read this agreement.
(b) this agreement creates a sole agency relationship with us.
(c) you had the opportunity to get independent advice from a lawyer, tax adviser, lender, appraiser, surveyor, structural engineer, property inspector or such other professional service provider as you require before signing this agreement.
(d) this agreement accurately sets out what we and you agree to.

21. CONTACT INFORMATION

21.1 The following contact information must be used for all written communications between us and you. If this contact information changes, we and you must tell each other in writing within two days of the change.

SELLER:

Name _____

Address _____ (postal code)

Phone _____ Fax _____

Email _____

Name _____

Address _____ (postal code)

Phone _____ Fax _____

Email _____

BROKERAGE:

BROKERAGE REPRESENTATIVE:

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Name_____ Name _____

Address _____ (postal code) Address: c/o the Brokerage

Phone _____ Fax _____ Phone _____ Fax _____

Email _____ Email _____

21.2 We and you may communicate and deliver documents and information to each other in person, by mail, or electronically. We and you acknowledge there are risks with each of these methods and we have explained these risks to you.

21.3 We and you agree that for our communication an electronic signature will have the same function as an ink signature and that any documents or information exchanged between us will be considered delivered when they are sent.

SIGNATURES:

SIGNED AND DATED on _____ , 20_____.

Signature of Seller/Authorized Signing Officer	Signature of Seller/Authorized Signing Officer
Print Name of Seller/Authorized Signing Officer	Print Name of Seller/Authorized Signing Officer
Signature of Witness	Signature of Witness
Print Name of Witness	Print Name of Witness
Signature of Brokerage Representative	Print Name of Brokerage Representative

NON-OWNER SPOUSE SIGNATURE (when dower rights apply):

Signed and dated at _____. m. on _____, 20_____.

Non-Owner Spouse Signature	Non-Owner Spouse Name (print)
Witness Signature	Witness Name (print)

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